

MINIMUM REVENUE GUARANTEED PAYMENT AGREEMENT
Between
CITY OF CHEYENNE, WYOMING, AND
CHEYENNE REGIONAL AIR SERVICE FOCUS TEAM (CRAFT)

THIS AGREEMENT is made and entered into by and between the City of Cheyenne, Wyoming, a municipal corporation organized under the laws of the State of Wyoming, 2101 O'Neil Avenue, Cheyenne, Wyoming 82001 ("CITY"), and the Cheyenne Regional Air Service Focus Team, c/o Cheyenne LEADS, P.O. Box 1045, Cheyenne, Wyoming 82003-1045 ("CRAFT"). The CITY and CRAFT are sometimes individually referred to herein as "Party" and collectively as "Parties." The Parties agree as follows:

I. PURPOSE

The purpose of this Agreement is for the CITY to pay a portion of the Minimum Revenue Guaranteed ("MRG") funds to CRAFT, for payments to SkyWest Airlines for providing scheduled flight services between Cheyenne, Wyoming, and Denver, Colorado.

II. TERM

This Agreement shall commence on the date last executed by the duly authorized representatives of the Parties to this Agreement and shall remain in full force and effect until June 30, 2027, or until terminated as provided herein.

III. RESPONSIBILITIES OF CITY

The CITY shall pay to CRAFT up to three hundred eighty thousand nine hundred twenty-eight dollars and eighty cents (\$380,928.80) of the MRG, which is capped at one million nine hundred four thousand six hundred forty-four dollars (\$1,904,644.00), upon presentation of a properly executed invoice and accounting as prescribed by the City Treasurer. The CITY shall be responsible for twenty percent (20%) of the MRG amounts billed by SkyWest Airlines. The CITY's total payment obligation under this Agreement shall not exceed three hundred eighty thousand nine hundred twenty-eight dollars and eighty cents (\$380,928.80). The Parties understand and agree that any MRG amount payable to SkyWest Airlines shall only arise if, and when, SkyWest Airlines fails to meet the MRG margin. Payments shall be made in accordance with Wyo. Stat. § 16-6-602, as amended.

IV. RESPONSIBILITIES OF CRAFT

A. CRAFT agrees that the funds paid by the CITY pursuant to this Agreement shall not be for the express aid of any private citizen, or in violation of Article 16, Section 6, of the Constitution of the State of Wyoming.

B. CRAFT agrees to provide an invoice to the CITY consisting at a minimum of detailed accounting describing the costs and services provided pursuant to this Agreement.

C. CITY acknowledges and agrees that CRAFT will not have an active role, other than a right to review and audit records, in the accounting of the costs associated with the services provided by SkyWest Airlines. Subject to the foregoing, for those funds passing through CRAFT, CRAFT agrees to maintain generally accepted accounting procedures and practices, and to maintain books, records, documents, and other evidence to sufficiently and properly reflect all transactions of any nature relating to this Agreement or any funds provided by or through the City of Cheyenne including, but not limited to, the funds referenced herein. Any books, records, documents, and other evidence shall be made available upon written request of the CITY for inspection at the offices of CRAFT located in Cheyenne, Wyoming.

D. CRAFT agrees to retain all required records for three (3) years after the CITY makes final payment and all other matters relating to the Agreement are concluded. CRAFT agrees to permit access by the CITY or any of its duly authorized representatives to any books, documents, papers, and records of CRAFT that are directly pertinent to this Agreement for purposes including, but not limited to, audit, examination, excerpts, and transcriptions. It is agreed that finished or unfinished documents, data, or reports, prepared by CRAFT under this Agreement shall be considered the property of the CITY and upon completion of the services to be performed, or upon termination of this Agreement for cause, or for the convenience of the CITY, will be turned over to the CITY.

V. GENERAL PROVISIONS

A. **Independent Contractor.** The services to be performed by CRAFT are those of an independent Contractor and not as an employee of the CITY. CRAFT is not eligible for City of Cheyenne employee benefits and will be treated as an independent contractor for federal tax filing purposes. CRAFT assumes responsibility for its personnel who provide services pursuant to this Agreement and will make all deductions required of employers by state, federal, and local laws and shall maintain liability insurance for each of them. CRAFT is free to perform the same or similar services for others.

B. **Acceptance Not Waiver.** The CITY's approval of the reports and work or materials furnished hereunder shall not in any way relieve CRAFT of responsibility for the technical accuracy of the work. The CITY's approval or acceptance of, or payment for, any of the services shall not be construed to operate as a waiver of any rights under this Agreement or of any cause of action arising out of the performance of this Agreement.

C. **Termination.** This Agreement may be terminated as follows:

1. Termination for Cause. Either party may terminate this Agreement for the other party's material failure to comply with the terms and conditions of this Agreement, provided that the terminating party first gives written notice

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describing the alleged failure with reasonable specificity. The non-complying party shall have thirty (30) days from receipt of the notice to cure the failure. If the failure is not cured within that thirty (30) day period, or if the failure cannot reasonably be cured within thirty (30) days and the non-complying party has not commenced and diligently pursued cure within that period, the terminating party may terminate this Agreement by providing written notice of termination.

2. Termination for Convenience. Either party may terminate this Agreement without cause by providing thirty (30) days' prior written notice to the other party.
3. Termination by Mutual Agreement. This Agreement may be terminated at any time upon mutual written agreement of the parties.
4. Effect of Termination. Termination of this Agreement shall not relieve either party of any payment obligation or other obligation that accrued before the effective date of termination. The CITY shall remain responsible only for its proportionate share of eligible MRG obligations incurred before the effective date of termination, including any obligations that became binding before termination even if invoiced after termination, subject to the maximum payment obligation stated in this Agreement. CRAFT shall not be entitled to payment for any amount that is not properly invoiced, documented, and payable under this Agreement.
5. Unexpended or Improperly Used Funds. Upon termination, CRAFT shall provide the CITY with a final accounting of all funds received from the CITY under this Agreement. Any City funds that have not been expended, committed, or are not otherwise necessary to satisfy eligible MRG obligations properly incurred before the effective date of termination shall be returned to the CITY within thirty (30) days after termination. Any City funds used for purposes not authorized by this Agreement shall also be returned to the CITY.

D. Entire Agreement. This Agreement, consisting of six (6) pages, represents the entire and integrated agreement and understanding between the parties and supersedes all prior negotiations, statements, representations, and agreements, whether written or oral.

E. Assignment. Neither this Agreement nor any rights or obligations hereunder shall be assigned or delegated by a party without the prior written consent of the other party.

F. Modification. This Agreement shall be modified only by a written agreement, duly executed by all parties hereto.

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G. Invalidity. If any provision of this Agreement is held invalid or unenforceable by any court of competent jurisdiction, or if the CITY is advised of any such actual or potential invalidity or unenforceability, such holding, or advice shall not invalidate or render unenforceable any other provision hereof. It is the express intent of the parties that the provisions of this Agreement are fully severable.

H. Applicable Law and Venue. The parties mutually understand and agree this Agreement shall be governed by and interpreted pursuant to the laws of the State of Wyoming, without regard to its conflict of laws principles. If any dispute arises between the parties from or concerning this Agreement or the subject matter hereof, any suit or proceeding at law or in equity shall be brought in the District Court of the State of Wyoming, First Judicial District, sitting at Cheyenne, Wyoming. The foregoing provisions of this paragraph are agreed by the parties to be a material inducement to CRAFT and to the CITY in executing this Agreement. This provision is not intended, nor shall it be construed to waive the CITY's governmental immunity as provided in this Agreement.

I. Contingencies. CRAFT certifies and warrants no gratuities, kickbacks, or contingency fees were paid in connection with this Agreement, nor were any fees, commissions, gifts, or other considerations made contingent upon the award of this Agreement.

J. Discrimination. All parties agree they will not discriminate against any person who performs work under the terms and conditions of this Agreement because of race, color, gender, creed, handicapping condition, or national origin.

K. ADA Compliance. All parties agree they will not discriminate against a qualified individual with disability, pursuant to a law as set forth in the Americans With Disabilities Act, P.L. 101-336, 42 U.S.C. § 12101, *et seq.*, and/or any properly promulgated rules and regulations relating thereto.

L. Governmental Immunity. The CITY does not waive its Governmental Immunity, as provided by any applicable law, including Wyo. Stat. § 1-39-101, *et seq.*, by entering into this Agreement. Further, the CITY fully retains all immunities and defenses provided by law regarding any action, whether in tort, contract, or any other theory of law, based on this Agreement.

M. Indemnification. To the fullest extent permitted by law, CRAFT agrees to indemnify and hold harmless the CITY, its elected and appointed officials, employees, and volunteers from any and all liability for injuries, damages, claims, penalties, actions, demands, or expenses arising solely from or in connection with the work that is to be performed by or on behalf of CRAFT for the CITY except to the extent liability is caused by the sole negligence or willful misconduct of the CITY, its elected and appointed officials, employees, and volunteers. CRAFT shall carry liability insurance sufficient to cover its obligations under this provision and provide CITY with proof of such insurance.

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N. Third Parties. The parties do not intend to create in any other individual or entity the status of third-party beneficiary, and this Agreement shall not be construed to create such status. The rights, duties, and obligations contained in this Agreement shall operate only between the parties to the Agreement and shall inure solely to the benefit of the parties to this Agreement.

O. Conflict of Interest. The CITY and CRAFT affirm, to their knowledge, no CRAFT employee has any personal beneficial interest whatsoever in the Agreement described herein. No staff member of CRAFT, compensated either partially or wholly with funds from this Agreement, shall engage in any conduct or activity which would constitute a conflict of interest relative to this Agreement.

P. Force Majeure. The performance of the Agreement by either party shall be subject to force majeure including, but not limited to, acts of God, fire, flood, natural disaster, war or threat of war, acts or threats of terrorism, civil disorder, unauthorized strikes, governmental regulation or advisory, recognized health threats as determined by the World Health Organization, the Centers for Disease Control, or local government authority or health agencies (including, but not limited to, the health threats of COVID-19, H1N1, or similar infectious diseases), curtailment of transportation facilities, or other similar occurrence beyond the control of the parties, where any of those factors, circumstances, situations, or conditions or similar ones prevent, dissuade, or unreasonably delay the performance required by this Agreement. The Agreement may be cancelled by either party, without liability, damages, fees, or penalty, and any unused deposits or amounts paid shall be refunded, for any one or more of the above reasons, by written notice to the other party.

Q. Limitation on Payment. The CITY's payment obligation is conditioned upon the availability of funds which are appropriated, allocated, or approved by the Governing Body for the payment of this obligation. If funds are not allocated, appropriated, or approved and available, in the fiscal judgment of the CITY, for the continuance of the services and equipment provided by CRAFT, the Agreement may be terminated by the CITY at the end of the period for which funds are available. No penalty shall accrue to the CITY in the event this provision is exercised, and the CITY shall not be obligated or liable for any future payments due or for any damages because of termination under this provision.

R. Notices. All notices required and permitted under this Agreement shall be deemed to have been given, when deposited in the U.S. Mail, properly stamped and addressed to the party for whom intended at such party's address listed herein, or when delivered personally to such party. A party may change its address for notice hereunder by giving written notice to the other party.

S. Compliance with Laws. CRAFT shall comply with all applicable federal, state, or local laws, regulations, and ordinances.

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T. Counterparts; Separate Signature Pages. This Agreement may be executed in one or more counterparts, each of which shall be deemed an original, and all of which together shall constitute one and the same instrument.

IN WITNESS WHEREOF, the parties to this Agreement, through their duly authorized representatives, have executed this Agreement on the days and dates set out below and certify that they have read, understood, and agreed to the terms and conditions of this Agreement.

This Agreement is effective the date of the last signature affixed to this page.

CITY OF CHEYENNE, WYOMING

By: _____ Date _____
Patrick Collins, Mayor

(SEAL)

Attest:

BY: _____
Kylie Soden, City Clerk

CHEYENNE REGIONAL AIR SERVICE FOCUS TEAM

By: _____ Date _____
Wendy Volk, President

ATTEST:

By: _____ Date _____
Lori Schoene, Secretary

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